Chapter 19

COLLECTIBLES

A financial mania is rarely an event isolated from the rest of social behavior. Market trends are manifestations of a larger mood trend, and such trends have many outlets of expression. The speculative fever of the past decade has hardly been confined to stocks, bonds and real estate, although those markets have received most of the money and attention. The abandonment of reason to the rush of crowd emotion in the rarefied atmosphere of a speculative bubble also magically transformed collectible items from the stuff of hobbies to "investments." Unlike the stock market at the current writing, however, and more like junk bonds, these less than standard investments have already crumbled under the weight of the curling tidal wave.

The Elliott Wave Theorist's very first forecast involving this class of investments, in February 1989, identified the approaching high in prices for collectibles. Some of the trends had been in force for decades, others for only a few years. Collector coins, for instance, had been in a fairly steady bull market since the 1940s. Less mainstream collectibles, such as photographic art and old newspapers, on the other hand, were a more recent craze.

In early 1989, *The New York Times* and *The Wall Street Journal* chronicled the fact that "classic cars" were the hottest investments around, far outperforming real estate and stock market mutual funds, having risen 1000% at auctions around the country in just a few years. "The upward trend," said one newspaper, "shows no evidence of stopping." Such assessments always mean that there is no downtrend yet. However, *evidence* of stopping (which included the articles themselves and the assessments they contained) was everywhere.

The sheer number of newly popular collectibles, as well as their increasingly questionable quality, was instrumental in concluding that the top was at hand. The situation was analogous to some "B" waves in the stock market, when high flying "cats and dogs" are a classic sign of heavy public involvement, and by definition, an approaching peak. The collectibles mania, along with the mania for junk bonds and "emerging market" equities, has simply been an